

BEFORE THE FEDERAL MARITIME COMMISSION

CARLSTAR GROUP LLC f/k/a)
CARLISLE TRANSPORTATION)
PRODUCTS, INC. and CTP)
TRANSPORTATION PRODUCTS, LLC,)

Complainants

v.

UTi, UNITED STATES, INC.; UTi)
UNITED STATES, LLC; and DSV)
AIR & SEA, INC.)

Respondents

DOCKET NO. 17-08

**COMPLAINANTS' RESPONSE TO
RESPONDENTS' SUPPLEMENTAL MEMORANDUM IN SUPPORT OF MOTION TO
DISMISS AND IN RESPONSE TO FEBRUARY 23, 2018 PRELIMINARY RULING**

Complainants The Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc. and CTP Transportation Products, LLC (collectively, "Carlstar"), respectfully submit this Response to the Supplemental Memorandum ("Supplemental Memorandum") in Support of Motion to Dismiss and in Response to February 23, 2018 Preliminary Ruling ("Preliminary Ruling") filed by Respondents UTi, United States, Inc., UTi United States, LLC, and DSV Air & Sea, Inc. (collectively, "UTi").

ARGUMENT

I. Preliminary Rulings

A. Arbitration Clause

Your Honor's Preliminary Ruling denied the portion of UTi's Motion to Dismiss arguing that Carlstar's Complaint should be dismissed because of the arbitration clause in the Carlisle

Transportation Products Agreement. (Preliminary Ruling at * 13.) Carlstar respectfully agrees with Your Honor's conclusion in this regard.

B. Facial Subject Matter Jurisdiction Challenge

UTi's Supplemental Memorandum confirms that UTi's Motion to Dismiss asserted a "facial challenge" to the subject matter jurisdiction of the Federal Maritime Commission (the "Commission") to adjudicate the claims asserted by Carlstar's Complaint. Your Honor's Preliminary Ruling correctly denied facial challenge to the Commission's subject matter jurisdiction in this case, noting as follows:

Construing UTi's argument as a facial attack on subject matter jurisdiction, the Complaint alleges that UTi, an ocean transportation intermediary licensed by the Commission to engage in international transportation of cargo by water, violated the Shipping Act while transporting cargo internationally for Carlstar. It appears that this sufficiently alleges the Commission's subject matter jurisdiction.

(Preliminary Ruling at *16.) Carlstar respectfully agrees with Your Honor's conclusion in this regard, and further notes that the portion of UTi's Supplemental Response provides no new argument or facts to reverse Your Honor's preliminary ruling on this issue.

C. Carlstar's Section 41102(c) Claims

Your Honor's Preliminary Ruling granted the portion of UTi's Motion to Dismiss concerning the claims in Carlstar's Complaint alleging a violation of 46 U.S.C. § 41102(c). (Preliminary Ruling at *19.) Carlstar respectfully does not contest Your Honor's dismissal of its Section 41102(c) claim.

D. Statute of Limitations

Your Honor's Preliminary Ruling does not set forth a preliminary ruling on the portion of UTi's Motion to Dismiss concerning Carlstar's claims arising before December 20, 2013.¹ (See Preliminary Ruling at *21-23.) UTi's Supplemental Response likewise does not address the statute of limitations issue. Accordingly, Carlstar respectfully does not address the substance of the statute of limitations issue herein.²

II. Additional Submissions Regarding Carlstar's Claims under Section 44104

Your Honor's Preliminary Ruling noted: "Construing UTi's arguments as a factual attack on subject matter jurisdiction, it appears that the attack implicates the merits of Carlstar's claims." (Preliminary Ruling at * 16.) Your Honor's Preliminary Ruling further noted: "It appears that the Carlisle Transportation Agreement may be an NSA [NVOCC Service Arrangement] or an NRA [NVOCC Negotiated Rate Arrangement]." Accordingly, "in the interest of judicial economy to establish the authority pursuant to which UTi transported the shipments at this stage of the proceeding," Your Honor ordered UTi to file a supplemental memorandum answering seven (7) questions. (Preliminary Ruling at * 27.)

Carlstar responds that UTi's answers to Your Honor's questions underscore the Commission's subject matter jurisdiction in this case. Your Honor's Preliminary Ruling

¹ Carlstar's Complaint alleges that prior to the Ocean Audit conducted in 2016, Carlstar was not aware of UTi's overcharges alleged in the Complaint. (Complaint ¶ 25.) It further appears undisputed that the parties entered into a series of tolling agreements that tolled the running of time under any applicable statute of limitations, laches, or other defense of similar import running from December 20, 2016 through August 31, 2017, the date Carlstar filed its Complaint. (See Complaint ¶¶ 32-34.)

² Your Honor's Preliminary Ruling observes the possibility that certain of the injuries alleged in Carlstar's Complaint "should reasonably have been discovered if Carlstar exercised due diligence at the time the injuries occurred; that is, at the time Carlstar received and paid the invoices." (See Preliminary Ruling *23.) However, Carlstar expects that discovery in this case will yield evidence concerning the reasonable discoverability of UTi's overcharges, including those occurring prior to December 20, 2013. Therefore, Carlstar respectfully requests that Your Honor continue to reserve judgment on statute of limitations issue until discovery has been completed.

specifically refers to UTi as a non-vessel operating common carrier (NVOCC), (*see* Preliminary Ruling at *1), and expressly notes that UTi has already conceded that “UTi operated ‘exclusively’ as an NVOCC on the shipments,” (*see* Preliminary Ruling at *8; *see also* Preliminary Ruling at *25). Nonetheless, UTi now inexplicably reverses course and contends in response to Your Honor’s Question 5 that it did not function as an NVOCC, (*see* Supplemental Response at 7-9).

Specifically, while UTi admits that it issued house bills of lading for the Carlstar shipments and appeared as the shipper on the master bills of lading issued by the ocean carriers, and even admits that the services that it provided to Carlstar pursuant to the Carlisle Transportation Products Agreement “resembled” those of an NVOCC, UTi contends that it was ignorant of the Shipping Act and Commission regulations concerning NVOCCs. (Supplemental Memorandum at 8.) UTi concludes, therefore, that Carlisle Transportation Products Agreement and the services provided thereunder “do not fall within the scope of 46 U.S.C. § 41104(2)(A).” (Supplemental Response at 9.)

Of course, however, UTi’s claimed ignorance of the law is no excuse. Furthermore, UTi’s claim that it was not aware that it was operating as an NVOCC is both incredible and belied by the record.³ Indeed, as noted in Your Honor’s Preliminary Ruling, that the Carlisle Transportation Products Agreement specifically referenced Carlstar’s obligation to “use UTi exclusively for its ocean freight forwarding and NVOCC requirements in Asia Pacific, Africa, North and South America, Europe and Australia.” (*See* Preliminary Ruling at *4 (quoting Complaint Exhibit 1 at 1).) In any event, as previously noted, UTi has already conceded that it functioned as an NVOCC with respect to Carlstar shipments under the Carlisle Transportation Products Agreement. (*See*

³ UTi’s contention is also a “factual assertion[] not based on documents already in the record” that UTi has not “supported by affidavit and/or other competent evidence,” as directed by Your Honor’s Preliminary Ruling. (*See* Preliminary Ruling at *28.)

Preliminary Ruling at *8 and * 25). UTi is therefore subject to the requirements of Section 41104(2)(A), as well as to the regulations promulgated under the Shipping Act that are applicable to NVOCCs, including those set forth in 46 C.F.R. Part 515 and 46 C.F.R. Part 531. As discussed below, it is clear that UTi has violated Section 40114(2)(A), as well as several of these regulations.

As Your Honor’s Preliminary Ruling correctly notes, “Section 41104(2)(A) states that a common carrier may not provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a published tariff or service contract. (Preliminary Ruling at *25-26 (citing 46 U.S.C. § 41104(2)(A)).) UTi’s contends, in its responses to Your Honor’s Questions 1-4, that UTi did not provide services described in the Carlisle Transportation Products Agreement in accordance with the rates, charges, classifications, rules, and practices contained in: (1) a tariff; (2) a service contract; (3) a valid NVOCC Service Arrangement as permitted by and in compliance with 46 C.F.R. Part 531; or (4) a valid NVOCC Negotiated Rate Arrangement as permitted by and in compliance with 46 C.F.R. Part 532. (Supplemental Response at 6-7.) Therefore, according to UTi’s own factual position, UTi failed to comply with Section 41104(2)(A).

Moreover, as an NVOCC, UTi is defined, under 46 C.F.R. § 515.2, as an “ocean transportation intermediary (OTI).” *See* 46 C.F.R. § 515.2. As an OTI, UTi has important duties that are relevant in this case. Significantly, under 46 C.F.R. § 515.31(e), UTi has a duty of accuracy with respect to its OTI transactions. *See* 46 C.F.R. § 515.31(e). In addition, under 46 C.F.R. § 515.31(i), UTi is required to account to Carlstar for all overpayments. *See* 46 C.F.R. § 515.31(i). Carlstar contends that UTi’s overcharging activities, described in detail in the Complaint, state a claim for relief under these regulations. Moreover, the Commission’s subject

matter jurisdiction under the Act necessarily includes adjudicating violations of these regulations, and imposing reparations to Carlstar for the actual injury that these violations have caused.

Carlstar worked for months, both before and after filing its Complaint, requesting UTi to provide an accounting for the sums paid to UTi. Significantly, as described in the Complaint, Carlstar had evidence that UTi routinely overcharged it for OTI services. Carlstar merely requested documents and information necessary to verify the charges submitted by UTi to Carlstar for its services as a NVOCC. However, UTi was unable to provide Carlstar with much of the information which the Commission and the Shipping Act require to be maintained by a NVOCC. More specifically, UTi's claimed failure in this respect would, if true, violate 46 C.F.R. § 515.33, which requires a licensed NVOCC to "maintain in an orderly and systematic manner, and keep current and correct, all records and books of account in connection with its OTI business." *See* 46 C.F.R. § 515.33. The Commission certainly has the subject matter jurisdiction to address UTi's apparent failure to maintain this required documentation, in violation of 46 C.F.R. § 515.33, and to impose reparations to Carlstar for the actual injury that these violations have caused.

Moreover, contrary to UTi's response to Your Honor's Question 3, it appears that the Carlisle Transportation Products Agreement at issue in this case is properly characterized as an "NVOCC Service Arrangement ('NSA')," as defined under 46 C.F.R. § 531.3(p), where Carlstar was the NSA shipper, UTi was the NVOCC, and Carlstar granted UTi an exclusive NVOCC role – agreeing to provide UTi one hundred percent (100%) of its cargo or freight revenue during the original and amended contract terms, and UTi committed to the specific rates and service levels set forth in the Carlisle Transportation Products Agreement. *See* 46 C.F.R. § 531.3(p).

Furthermore, because UTi provided service to Carlstar pursuant to an NSA, UTi was prohibited, under 46 C.F.R. § 531.6(d)(1), from providing service that was not "in accordance with

the rates, charges, classifications, rules and practices contained in an effective NSA.” *See* 46 C.F.R. § 531.6(d)(1). Additionally, because the Carlisle Transportation Products Agreement is an NSA, UTi was required to, but apparently failed to, file it with the Commission. *See* 46 C.F.R. § 531.5; 46 C.F.R. § 531.6(a); 46 C.F.R. § 531.8(a)(1).

Therefore, UTi’s provision of services pursuant to the Carlisle Transportation Products Agreement likewise violated 46 C.F.R. § 531.11. UTi’s apparent violations of these regulations also necessarily fall within the Commission’s subject matter jurisdiction, including the Commission’s authority to impose reparations to Carlstar for the actual injury that these violations have caused.

Moreover, while UTi claims that it did not enter into service contracts with Carlstar, UTi presumably entered into service contracts with vessel-operating common carriers (VOCCs). Indeed, the Carlisle Transportation Products Agreement clearly contemplated that UTi would seek rates that were more competitive than tariff rates. Furthermore, UTi admits that the Carlisle Transportation Products Agreement “called for all freight charges to Carlstar to mirror the charges between UTi and the Ocean Carrier.” (Motion to Dismiss at 9.) Yet, again, Carlstar has not been able to definitively discern what pricing vehicle UTi used to move its cargo by ocean common carrier, and whether the amounts that UTi charged to Carlstar mirrored the charges between UTi and its VOCCs. Carlstar needs the UTi service contracts and other relevant documentation to more fully audit the millions of dollars of charges that were invoiced to it by UTi for NVOCC services.

While UTi contends that the Complaint lacks sufficient detail concerning the terms of the Carlisle Transportation Products Agreement or disputed fees, Carlstar has pled sufficient facts to secure jurisdiction before the Commission. It is highly problematic for UTi to withhold the requested information and, in the same breath, request more details to sustain the Commission’s

jurisdiction. Carlstar's Complaint sets forth, in detail, clear evidence of overcharging in significant amounts over substantial periods of time. A definitive pleading is not required at this stage of a controversy before the Commission, nor is it possible. Yet, Carlstar understands its burden of proof, and is merely requesting that UTi provide all of the documentation used to calculate the various charges submitted to Carlstar. The Commission can clearly request the information from UTi required to be maintained by the regulations. Additionally, the Commission can make certain UTi complies with the requirements relating to the filing of service contracts, service arrangements, and tariffs.

If UTi refuses to provide Carlstar with the documents, the Commission should enforce its regulations and request that UTi produce the documents and information. UTi promised a full production of documents to Carlstar for months as part of Carlstar's effort to work with UTi to informally resolve these issues without the Commission's intervention. UTi likewise promised a full production of documents to Carlstar to justify a stay of these proceedings so that the parties could continue that process. Yet, with each deadline was another excuse as to why the documents could not be provided, forcing Carlstar to seek the involvement of the Commission. Again, the documents that are available clearly indicate that UTi overcharged Carlstar by substantial sums, including by all of the mechanisms detailed in the Complaint, and the documents provided to date suggest that there are potentially greater overcharged sums not yet identified.

In sum, regardless of UTi's claimed ignorance of the law, UTi has failed to comply with the most fundamental requirements of the Shipping Act and the Commission's regulations concerning shipping activities carried out by NVOCCs. The Commission should not indulge UTi's attempt to skirt the Commission's jurisdiction to regulate UTi's NVOCC activities. Moreover, the Commission should be highly concerned with UTi's apparent inability to account

to its shipper to justify millions of dollars of charges, and to provide the records concerning its OTI business activity that it is required to maintain. At the very least, the Commission should permit Carlstar to conduct discovery in this case to enable it to understand the basis upon which UTi invoiced Carlstar for these charges. At a minimum, the Commission should compel UTi to identify and produce to Carlstar all of the documents that UTi is required to have maintained, and which UTi should have already been able to produce to Carlstar without the Commission's intervention. If UTi submitted invoices that contained false information, then it is not a contractual argument. Instead, it is a clear violation of the Shipping Act and the duties owed by a NVOCC to a shipper, as well as to the Commission. The Commission has clear authority to hear evidence of these violations and to award reparations to Carlstar for the damages that resulted from the violations by UTi.

Respectfully submitted this 23rd day of March, 2018.

/s/ Derek H. Swanson

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing documents upon all parties noted below by mailing via electronic mail a copy to each such person:

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